

Basel HQLA Classification Update

Problem

A sovereign bond loses eligibility indicators needed for HQLA classification after a rating change.

Regulatory Requirements

Basel III/IV, LCR.

Options Considered

A: Keep previous HQLA status. B: Update status immediately. C: Wait for monthly batch.

Decision

Update HQLA status immediately.

Reasoning

Liquidity calculations depend on timely eligible asset classification.

Risks

Capital impact for clients, data dispute, operational pressure.